sector there are two categories of investors, viz. the private corporate sector and household sector.

As per the First Revised Estimates released by the CSO in January 2013, gross domestic capital formation as a ratio of GDP at current market prices (investment rate) is estimated to be **35.0** per cent in 2011-12 as against 36.8 per cent in 2010-11. Both public and private investment declined as a share of GDP. Within private investment, investment by the private corporate sector registered a sharper decline.

The ***reduction in private investment*** could be attributed to a number of factors.

i. First is the increase in policy rates (to combat inflation and inflationary expectations). Between March 2010 and October 2011, the RBI raised the repo rate by 375 basis points (bps),thus raising the cost of borrowings in a bid to reduce demand.

ii. Another reason for lower private investment could be lower demand for Indian exports from the rest of the world, particularly the advanced countries.

iii. A third possible reason for lower corporate investment is policy bottlenecks (such as obtaining environmental permissions, fuel linkages, or carrying out land acquisition), which led to a number of large projects becoming stalled, which may in turn have discouraged new investment.

Recent Investment Trends

Two trends in investments stand out viz., rising stalled projects and falling project starts. To study these, the Survey uses the data from the ***CaPex*** database of the Centre for Monitoring Indian Economy (CMIE), which tracks investments at a project-specific level.

i. Rising Stalled Projects: There has been a surge in projects where implementation has stalled. Both in value and volume terms, stalled projects have been rising since early 2009. As of December 2012, six sectors accounted for about 80 per cent of all stalled projects, which were electricity, roads, telecommunication services, steel, real estate, and mining.